achieve faster growth. The intention was to ‘oust’ Unilever as the largest seller of tea ‘in bags and loose leaves’, wrote the *Financial Times* in 2002.

The American consumer goods company Sara Lee and the world’s largest food and beverage company, Nestlé SA, as well as Unilever, were also in the race to buy Tetley. Arthur Andersen, which had codenamed the proposal ‘Project Cheers’, advised the Tatas to make an offer for £275 million. At stake was Tetley’s worldwide teabag business, excluding the private label and coffee business. The amount involved was higher than what the Tatas had anticipated but they remained undeterred. Krishna Kumar understood Ratan’s vision and knew that if he could make it happen, it would be a game changer for the group.

He made a quick assessment and decided to take up the gauntlet. There were only two people in the group who had to be convinced of the soundness of the deal. One was, of course, Ratan. The second was N.A. Soonawala, the chairman’s trusted financial wizard, without whose approval Bombay House made no large financial commitment. Krishna Kumar wrote to them, pushing for the acquisition. He reasoned that an opportunity to buy a company like Tetley did not come very often. He opined that ‘of all bidders for the business’, Tata Tea was the most suited ‘given its strong presence in all segments of the tea market’.

On the price aspect, he commented that a bespoke company like Tetley could not be expected to be sold for a small price tag. A ‘leap of this magnitude’ simply could not be ‘accomplished without a high price tag’. He reasoned: ‘The availability of the Tetley brand presents a singular opportunity not only to acquire a dominant brand presence in the developed world as far as the teabag market is concerned, but also unfolds an opportunity to effect a significant brand extension exercise into the realms of the much larger packet tea business worldwide, and also the value added, higher margin business in flavoured, herbal teas, etc. in the United States and Continental Europe.’

Krishna Kumar also wrote that ‘15 years ago’ the company had faced a similar conundrum when ‘it broke through on the consumer marketing front in India’. He added that Tata Tea, ‘despite its present outstandingly successful position’, could again ‘face a crisis of choice’ as it ‘looks forward at the future’.

An eager Ratan was happy to agree. Ten months into the negotiations and after multiple due-diligence exercises, Tata Tea dared to take the plunge. It